Fixed and Recurring Deposits Policy

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1. Purpose

This policy sets out the terms applicable to Fixed Deposits (FDs) and Recurring Deposits (RDs), collectively called Term Deposits, offered by SecureBank Ltd. to resident individual customers. It covers eligibility, interest rates, payout options, premature withdrawal, renewal, taxation and loans against deposits.

2. Fixed Deposits

2.1 Eligibility and minimum amount

Any customer holding a SecureBank Savings or Current Account may open a Fixed Deposit through the mobile app, internet banking or a branch. The minimum amount for a Fixed Deposit is Rs. 5,000 and the maximum amount for retail term deposits is Rs. 2,99,99,999 (just under Rs. 3 crore). Deposits of Rs. 3 crore and above are treated as bulk deposits and carry separately notified rates.

2.2 Tenure

Fixed Deposits may be opened for any tenure from 7 days to 10 years. Interest rates depend on the tenure band at the time of booking and remain fixed for the full tenure of the deposit, regardless of later changes in the Bank's rate card.

2.3 Interest rates for deposits below Rs. 3 crore

The following rates are effective from 1 April 2026 and apply to new deposits and renewals. Senior citizens are resident individuals aged 60 years or above on the date of booking.

Tenure	General public (p.a.)	Senior citizens (p.a.)
7 days to 45 days	3.50%	4.00%
46 days to 179 days	4.75%	5.25%
180 days to 364 days	6.00%	6.50%
1 year to less than 15 months	6.80%	7.30%
15 months to less than 2 years	7.10%	7.60%
2 years to less than 3 years	7.00%	7.50%
3 years to less than 5 years	6.90%	7.40%
5 years (Tax Saver FD)	6.75%	7.25%
Above 5 years up to 10 years	6.50%	7.00%

Super senior citizens (aged 80 years and above) receive an additional 0.10% over the senior citizen rate for tenures of 1 year and above. Bank staff receive an additional 1.00% over the general public rate.

2.4 Interest payout options

- Cumulative (reinvestment): interest is compounded quarterly and paid along with the principal at maturity. Available for tenures of 6 months and above.
- Non-cumulative monthly payout: interest is paid every month at a discounted rate equivalent to the quarterly rate.
- Non-cumulative quarterly payout: interest is paid every quarter to the linked savings account.

- Short-term deposits of less than 6 months: simple interest is paid at maturity.

2.5 Tax Saver Fixed Deposit

A Tax Saver FD has a fixed lock-in period of 5 years and qualifies for deduction under applicable income tax provisions up to Rs. 1,50,000 per financial year. Premature withdrawal, loan against deposit and sweep-in facilities are not available on Tax Saver FDs. Only individuals and HUFs are eligible. The maximum amount is Rs. 1,50,000 per financial year.

3. Premature Withdrawal

Customers may close a regular Fixed Deposit before maturity through the app or at a branch. On premature closure, interest is paid at the rate applicable for the period the deposit actually remained with the Bank, minus a penalty, as follows:

Deposit amount	Penalty on premature withdrawal
Below Rs. 5 lakh	0.50% below the applicable rate
Rs. 5 lakh and above	1.00% below the applicable rate
Deposits closed within 7 days of booking	No interest is paid

No penalty is charged for premature closure in the following cases: (a) death of the depositor, where the claim is made by the nominee or legal heir; (b) deposits closed to be renewed with SecureBank for a longer tenure at a higher rate, provided the remaining tenure is longer than the original. Partial withdrawal from a single FD is not permitted; customers who may need partial liquidity are advised to split funds across multiple deposits.

4. Renewal and Maturity

At the time of booking, customers choose one of three maturity instructions: (1) auto-renew principal and interest, (2) auto-renew principal and credit interest to the savings account, or (3) credit the full maturity amount to the savings account. If no instruction is given, the deposit is auto-renewed for the same tenure at the rate prevailing on the date of maturity.

If a deposit matures and remains unclaimed with no renewal instruction, interest is paid for the overdue period at the savings account rate or the original contracted rate, whichever is lower.

5. Recurring Deposits

A Recurring Deposit allows customers to save a fixed amount every month. The minimum monthly instalment is Rs. 500, in multiples of Rs. 100, and the tenure ranges from 6 months to 10 years in multiples of 3 months. RD interest rates are the same as FD rates for the corresponding tenure. Instalments are debited automatically from the linked savings account on the chosen date.

If an instalment is missed, a penalty of Rs. 1.50 per Rs. 100 per month of delay is levied. If six consecutive instalments are missed, the RD will be closed prematurely and the accumulated amount, along with interest at the applicable premature rate, will be credited to the savings account.

6. Taxation (TDS)

Interest on Fixed and Recurring Deposits is taxable. Tax Deducted at Source (TDS) is deducted at 10% if the total interest paid or credited by the Bank to a customer across all branches exceeds Rs. 40,000 in a financial year (Rs. 50,000 for senior citizens). If PAN is not furnished, TDS is deducted at 20%.

Customers whose total income is below the taxable limit can submit Form 15G (below 60 years) or Form 15H (60 years and above) at the beginning of each financial year to avoid TDS. These forms can be

submitted through the app under Deposits > Tax Forms. TDS certificates (Form 16A) are issued quarterly and are available for download in the app.

7. Loan / Overdraft Against Fixed Deposit

Customers can avail an overdraft of up to 90% of the deposit value (principal plus accrued interest) against a regular Fixed Deposit, without breaking the deposit. The interest rate on the overdraft is 2.00% above the FD rate. The facility is available instantly through the app for deposits booked online. Tax Saver FDs are not eligible.

8. Nomination and Deposit Insurance

Nomination is available for all term deposits. Term deposits are insured by DICGC up to Rs. 5,00,000 per depositor, per bank, combined with all other deposits held in the same capacity.

9. Products Not Covered

This policy does not cover NRI deposits (NRE/NRO/FCNR), corporate deposits or bulk deposits of Rs. 3 crore and above. For these, please refer to the relevant product terms or contact your Relationship Manager.